GradientCIO

PRIVATE MARKETS PORTFOLIO CONSTRUCTION

Northstar Private Markets Program (TEST)

Decision pack · prepared for the Investment Committee (TEST)

AS OF
2026-06-30

BASE CURRENCY
USD

TOTAL NAV
$1,000.0M

PRIVATE-MARKETS NAV
$230.0M

UNFUNDED COMMITMENTS
$92.0M

DATA SCOPE
Fictional TEST data

PRIVATE-MARKETS PROGRAM STATUS
Pacing and concentration on watch

EVIDENCE COMPLETENESS
8 of 9 · Partial

01 Executive Decision

Recommendation and committee action

PRIVATE-MARKETS PROGRAM STATUS

Pacing and concentration on watch

EVIDENCE COMPLETENESS · 8/9

RECOMMENDATION

We recommend a two-year $80.0M commitment program that shifts new commitments toward infrastructure and secondary private equity while keeping private-markets exposure inside the 15.0%–30.0% policy range S3 S6. Committee action requested: approve the program ceiling and first-year pacing, subject to manager diligence and quarterly liquidity tests S3 S7.

PRIVATE-MARKETS WEIGHT	UNFUNDED COMMITMENTS	LIQUID COVERAGE	POLICY STATUS
23.0%	$92.0M	4.8x	Watch
Policy range 15.0%–30.0% S3	9.2% of NAV S4	Governed base case S3	Manager concentration S3

Recommendation and action requested

We recommend a two-year $80.0M commitment program. Committee action requested: approve a $45.0M first-year ceiling and require completed diligence before each commitment S3 S6 S7.

DECISION SUMMARY

DECISION ELEMENT	PROPOSED ACTION	EVIDENCE	STATUS
Program size	$80.0M over two years	S6	Proposed
First-year ceiling	$45.0M	S6	Proposed
Policy fit	Remain within 15.0%–30.0%	S3	Compliant

Conditions and limits

Each manager requires completed operational and GIPS diligence; quarterly pacing proceeds only while governed liquidity coverage remains at or above the returned policy threshold S3 S7.

Key judgment — headline signal

Observation: The fictional TEST report carries a Pacing and concentration on watch signal S1. Why it matters: The signal frames the review. Uncertainty: Evidence coverage is bounded. What would change the view: New governed evidence that changes the signal.

Key judgment — primary measure

Observation: Private-markets weight is 23.0% in the TEST evidence S2. Why it matters: This measure anchors the executive view. Uncertainty: The fixture is deliberately compact. What would change the view: A refreshed source with a materially different value.

Key judgment — monitoring priority

Observation: Policy status is Watch in the TEST evidence S3. Why it matters: It identifies a monitoring priority. Uncertainty: Supporting detail is limited. What would change the view: Corroborated evidence that resolves or reverses the item.

02 Mandate and Construction Objective

Policy and program constraints

Portfolio	**Northstar Total Fund (TEST)** S2
Objective	**Diversified private-markets program** S7
Horizon	**10 years** S5
Target range	**15.0%–30.0% of total NAV** S3
Base currency	**USD** S2
Data scope	**Fictional TEST data** S1 S1

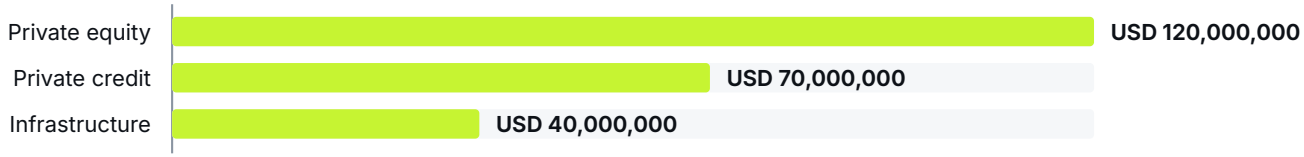
GOVERNED FRAMEWORK

AREA	OBJECTIVE OR LIMIT	OBSERVED	STATUS	SOURCE
Private markets	15.0%–30.0%	23.0%	Compliant	S3
Single manager	At or below 12.0%	11.4%	Watch	S3 S4
Unfunded ratio	At or below 12.0%	9.2%	Compliant	S3

03 Current Private Markets Portfolio

NAV, commitments and valuation dates

PRIVATE-MARKETS NAV BY STRATEGY (TEST)



CURRENT PROGRAM SNAPSHOT

STRATEGY	NAV	UNFUNDED	COMMITMENT	% NAV	VALUATION DATE
Private equity	$120.0M	$42.0M	$210.0M	12.0%	2026-03-31 S4
Private credit	$70.0M	$30.0M	$125.0M	7.0%	2026-03-31 S4
Infrastructure	$40.0M	$20.0M	$75.0M	4.0%	2026-03-31 S4

All reported private-market NAVs are dated 2026-03-31 and therefore lag the report date; unfunded amounts are shown separately and are not included in NAV S4.

04 Historical Performance and Attribution

Returned portfolio evidence; sleeve gaps remain explicit

STANDARD PERIODS

PERIOD	PORTFOLIO / SLEEVE	BENCHMARK	EXCESS	COVERAGE
1Y total portfolio	7.2%	7.6%	-0.4pp	Complete S8
3Y total portfolio (ann.)	6.8%	6.5%	+0.3pp	Complete S8
Private-markets sleeve	Not available — sleeve return not returned	Not available	Not available	Unavailable S8

ATTRIBUTION EFFECTS

EFFECT	CONTRIBUTION	SOURCE
Private-assets total effect	+0.12pp	S8
Total active return	-0.20pp	S8
Residual	0.00pp	S8

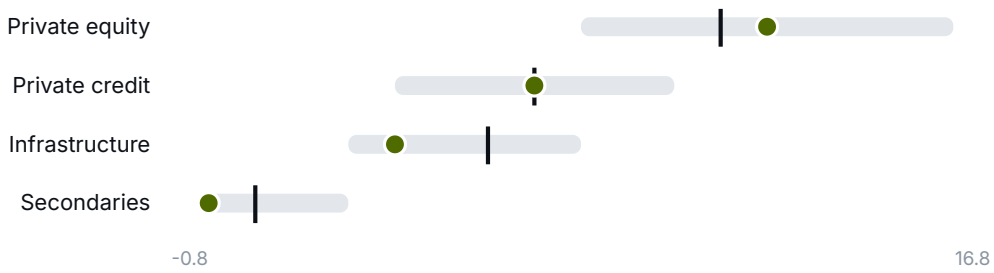
METHOD

Method	**Brinson-Fachler** S8
Linking	**Symmetric Carino** S8
Basis	**Net, monthly linked** S8
Tolerance	**1 bp; reconciled** S8

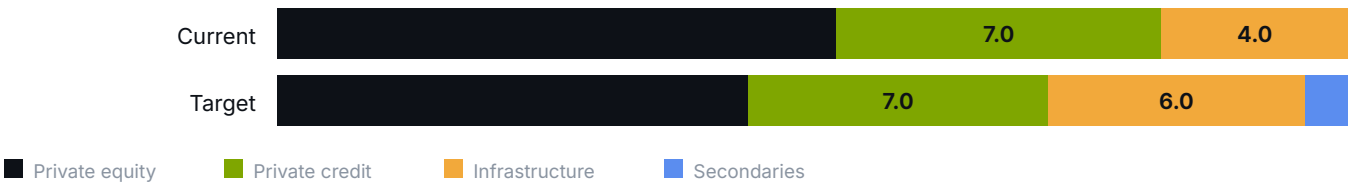
05 Target Portfolio Structure

The proposed mix reduces concentrated risk while preserving mandate exposure

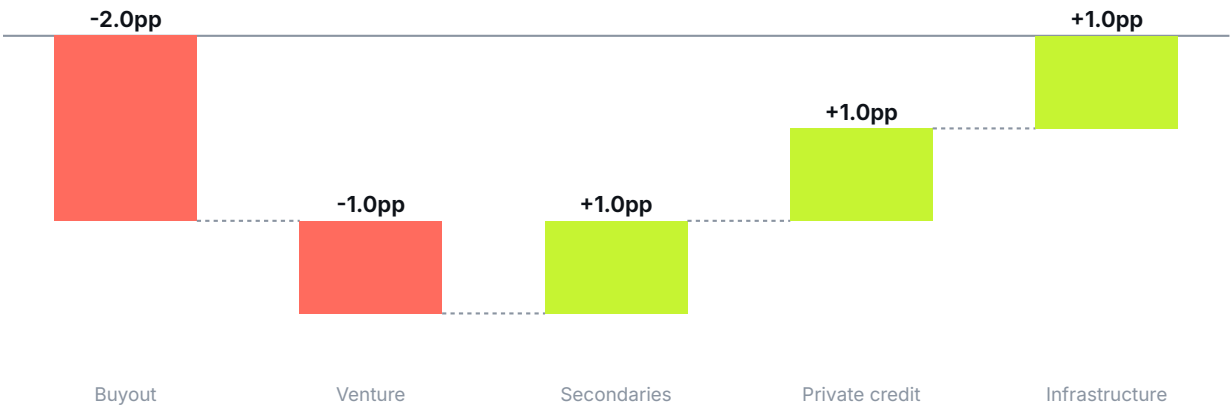
CURRENT WEIGHT VERSUS POLICY RANGE



CURRENT AND TARGET MIX



TARGET ALLOCATION CHANGES (PERCENTAGE POINTS)



CURRENT VERSUS TARGET

SEGMENT	CURRENT	TARGET	CHANGE	RANGE / CONSTRAINT	RATIONALE
Private equity	12.0%	11.0%	-1.0pp	8.0%–16.0%	Use slower new pacing S3 S6
Private credit	7.0%	7.0%	0.0pp	4.0%–10.0%	Maintain income role S5 S7
Infrastructure	4.0%	6.0%	+2.0pp	3.0%–8.0%	Direct new commitments here S5 S6
Secondaries	0.0%	1.0%	+1.0pp	At or below 3.0%	Add vintage diversification S6 S7

Analysis — Why this target

Observation: New pacing shifts exposure toward infrastructure and secondaries S6. Why it matters: The mix broadens within policy S3. Uncertainty: CMA consensus, macro regime and manager findings remain incomplete S7. What would change the view: Weaker liquidity coverage or completed context that does not support the proposed roles S3 S7.

Targets are a committee proposal from the fictional mandate and returned policy headroom; they are not changes saved to GradientCIO S3 S7.

06 Forward Return and Risk

Governed assumptions frame tradeoffs rather than forecasts

Assumption set	**2026 Strategic CMA (TEST)** S5
Regime	**Baseline** S5
Horizon	**10 years** S5
Currency	**USD** S5
Context fingerprint	**test-pm-forward-2026** S5

PRIVATE-MARKET FORWARD ASSUMPTIONS (TEST)

SEGMENT	EXPECTED RETURN	EXPECTED VOLATILITY
Private equity	9.6%	18.5%
Private credit	7.1%	9.2%
Infrastructure	7.8%	11.8%

Analysis — Assumptions frame tradeoffs

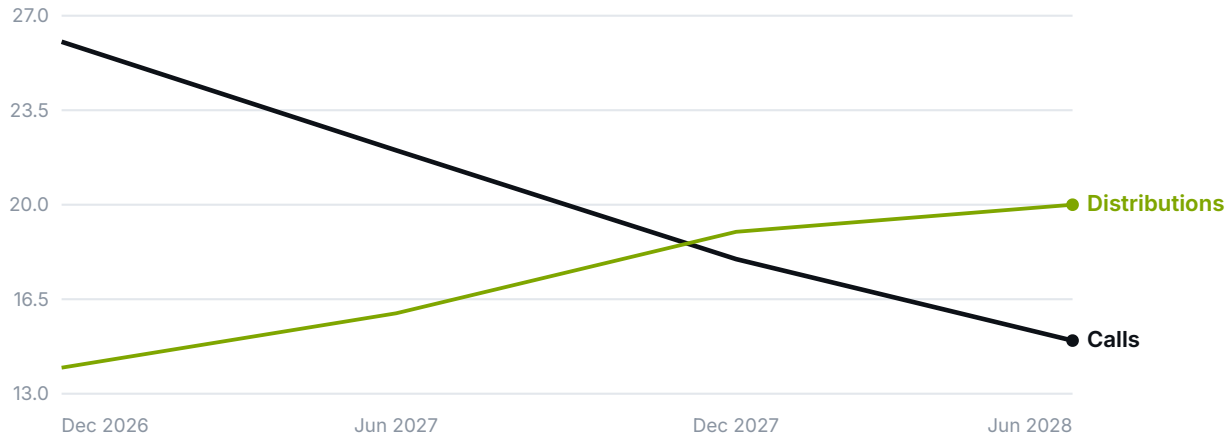
Observation: Private equity carries the highest expected return and volatility in the selected assumptions S5. Why it matters: Segment sizing trades return potential against risk. Uncertainty: These are long-horizon assumptions, not forecasts. What would change the view: A refreshed governed assumption set with materially different relative return or volatility S5.

The figures are long-horizon assumptions under the selected context, not forecasts or guarantees S5.

07 Commitments, Pacing and Cash Flow

Returned portfolio commitment schedule

COMMITMENT PACING (USD MILLIONS)



Returned TEST projection S6.

PROJECTED CALLS AND DISTRIBUTIONS (TEST)

PERIOD	CALLS	DISTRIBUTIONS
2026 H2	USD 26,000,000	USD 14,000,000
2027 H1	USD 22,000,000	USD 16,000,000
2027 H2	USD 18,000,000	USD 19,000,000
2028 H1	USD 15,000,000	USD 20,000,000

NEAR-TERM PACING

PERIOD	CALLS	DISTRIBUTIONS	NET CASH FLOW	BASIS	SOURCE
2026 H2	$26.0M	$14.0M	-$12.0M	Returned projection	S6
2027 H1	$22.0M	$16.0M	-$6.0M	Returned projection	S6

PERIOD	CALLS	DISTRIBUTIONS	NET CASH FLOW	BASIS	SOURCE
2027 H2	$18.0M	$19.0M	+$1.0M	Returned projection	S6

08 Liquidity and Denominator Risk

Coverage remains adequate under the fictional TEST stress case

GOVERNED SCENARIO COVERAGE



Denominator stress is unavailable S3 S6.

LIQUIDITY COMPOSITION (TEST)



LIQUIDITY PROFILE

BUCKET	% NAV	AMOUNT	REQUIREMENT	STATUS
Daily to quarterly	44.0%	$440.0M	At least 25.0%	Compliant
Over two years / locked	23.0%	$230.0M	At or below 30.0%	Compliant

Liquid assets	**$440.0M** S3
Unfunded commitments	**$92.0M** S4
Base coverage	**4.8x** S3
Near-term projected calls	**$48.0M** S6

> **Analysis — Coverage supports pacing**
>
> Observation: Base liquid coverage is 4.8x against unfunded commitments S3 S4. Why it matters: Current resources support the staged pacing case. Uncertainty: No governed denominator stress result is available. What would change the view: Lower liquid resources, higher calls, or a returned stress result below the policy threshold S3 S6.

SUPPORTED SCENARIOS

SCENARIO	LIQUID RESOURCES	FUNDING NEED	COVERAGE	STATUS
Governed base case	$440.0M	$92.0M	4.8x	Compliant
Denominator stress	Not available — no governed stress result	Not available	Not available	Not Assessed

09 Diversification and Manager Diligence

Concentration and pre-commitment conditions

DIVERSIFICATION

AXIS	LARGEST EXPOSURE	SHARE	LIMIT	STATUS
Manager	Example Private Manager A (TEST)	11.4%	12.0%	Watch
Strategy	Private equity	52.2% of private NAV	Not assessed	Not Assessed

MANAGER EVIDENCE

MANAGER / FUND	EXPOSURE	DILIGENCE STATUS	OPEN FINDINGS	NEXT STEP
Example Private Manager A (TEST)	$114.0M	Current S7	1 Medium S7	Close valuation-control follow-up
Proposed infrastructure manager	Not funded	Not assessed S7	Not assessed	Run manager comparison and ODD

10 Proposed Program and Implementation

Phased commitments with decision gates

COMMITMENT PROGRAM

PERIOD	SEGMENT	PROPOSED AMOUNT	FUNDING SOURCE	CONDITION	SOURCE
2026 H2	Infrastructure	$25.0M	Distributions and liquid reserve	Complete ODD	S6 S7
2027 H1	Private credit	$20.0M	Distributions	Coverage remains compliant	S3 S6
2027 H2	Secondaries	$20.0M	Distributions and cash	Committee checkpoint	S3 S6

PERIOD	SEGMENT	PROPOSED AMOUNT	FUNDING SOURCE	CONDITION	SOURCE
2028 H1	Reserve	$15.0M	To be determined	Evidence refresh	S6

ALTERNATIVES CONSIDERED

ALTERNATIVE	BENEFIT	COST / RISK	REASON NOT SELECTED
No new commitments	Maximum liquidity	Target exposure declines	Does not address program objective S3 S6
Front-load commitments	Faster target progress	Higher near-term calls	Coverage sensitivity S3 S6

- Phase each commitment after diligence clearance S7.
- Refresh pacing and policy liquidity quarterly S3 S6.
- Return to committee if manager concentration reaches its governed limit S3.

11 Risks, Open Items and Approvals

Conditions that govern implementation

DECISION RISKS

PRIORITY	RISK	EVIDENCE	MITIGATION / CONDITION	OWNER
High	Valuation and denominator lag	Q1 valuations S4	Quarterly headroom test	Investment staff
Medium	Manager concentration	11.4% vs 12.0% S3 S4	Cap follow-on commitments	CIO
Medium	Near-term net calls	$18.0M through 2027 H1 S6	Maintain liquidity gate	Treasury

OPEN ITEMS AND APPROVALS

TIMING	ITEM	REQUIRED EVIDENCE	OWNER	STATUS
Before approval	Confirm first manager	Comparison and ODD	Private markets team	Open S7
Within 30 days	Document pacing limits	Final program schedule	CIO	Open S6
Next review	Refresh valuations	2026 Q2 NAVs	Operations	Open S4

12 Coverage

Portfolio and allocation	**Available**	Fictional TEST data S2
Policy	**Available**	Allocation, liquidity and concentration S3
Exposure	**Available**	NAV, commitments and unfunded S4
Forward assumptions	**Available**	2026 Strategic CMA (TEST) S5
Commitments charts	**Available**	Returned pacing projection S6
Manager diligence	**Degraded**	Proposed manager not assessed S7
Returns and attribution	**Degraded**	No sleeve-specific return S8

A Appendix A — Sources

TAG	EVIDENCE	TOOL / VIEW	KEY PARAMETERS	AS OF	DATA SCOPE	VALIDATION	DIGEST
S1	Organization and capabilities	list_organizations; get_gradient_capabilities	organization=test	2026-06-30	Fictional TEST data	passed	pm-s1
S2	Portfolio and allocation	list_portfolios; get_portfolio_structure	allocation_tree	2026-06-30	Fictional TEST data	passed	pm-s2
S3	Policy assessment	check_portfolio_policy	portfolio=test	2026-06-30	Fictional TEST data	passed	pm-s3

TAG	EVIDENCE	TOOL / VIEW	KEY PARAMETERS	AS OF	DATA SCOPE	VALIDATION	DIGEST
S4	Private-market exposure	get_portfolio_exposure	all pages	2026-03-31	Fictional TEST data	passed	pm-s4
S5	Forward assumptions	get_capital_market_assumptions	baseline	2026-06-15	Fictional TEST data	passed	pm-s5
S6	Commitments and pacing	get_chart_data	commitments	2026-06-30	Fictional TEST data	passed	pm-s6
S7	Manager evidence and mandate	User document; diligence evidence	fictional	2026-06-30	Fictional TEST data	advisory	pm-s7
S8	Returns and attribution	get_portfolio_historical_returns; get_portfolio_attribution	all sections	2026-06-30	Fictional TEST data	degraded	pm-s8

B Appendix B — Server Metric Methods and Disclosures

SERVER METRIC METHODS

SOURCE	QUANTITY	METHOD / FORMULA	VERSION	BASIS / UNITS / TOLERANCE
S3	Policy status	Governed portfolio assessment	portfolio-policy-v1	Returned status
S4	Exposure	Server exposure aggregation	portfolio-exposure-v1	USD; unfunded separate
S5	Forward statistics	Expected-statistics charts	chart-contract-v1	10-year assumptions

SOURCE	QUANTITY	METHOD / FORMULA	VERSION	BASIS / UNITS / TOLERANCE
S6	Commitment pacing	Returned commitments pack	chart-contract-v1	Projected cash flows

- Private-market valuations may lag the report date S4.
- Forward values are assumptions, not forecasts or guarantees S5.
- Portfolio Analytics and Strategy Lab are separate analytical scopes.
- This AI-assisted construction analysis is not investment, legal or compliance advice.